

- Plan for the stock to miss the measure rule target. I see this often in flags. Of course, the Results Snapshot says price will reach the target only 46% of the time in bull markets, where I like to use flags. Try computing the measure rule target but use something like 75% of the flagpole height projected upward to get a more conservative (closer) target.

Sample Trade

Let us say you are considering shorting the stock shown in [Figure 34.6](#). Since the price trend is downward in a bull market, the Results Snapshot says that 46% of the flags will meet their price targets on average. That is a poor showing and deserves caution.

As the flag forms, you monitor the price closely by not only charting the end-of-day price but also checking it midday. When you dial into your broker for a lunchtime price quote and discover that price has moved outside the bottom trendline, you decide to pull the trigger. You sell short and receive a fill at 42 (most of the way down price bar C), just above the closing price of 41.50. (Note: An order to enter the trade a penny below the flag low, 42.49, would have worked well in this situation, but sometimes setting the entry price can be difficult if the flag is loose-looking).

You follow the stock closely as price declines. Looking back through the prior year's trading history, you discover two support levels at about 40 and 39. You believe that the stock will fall through the first support level but the second one may be more difficult. It is, after all, closer to the 38.25 target price and more robust than the first level.

When the stock moves sideways at the first support level, you check your work and reexamine the fundamentals and technical indicators. Everything seems good, so you remain in the trade.